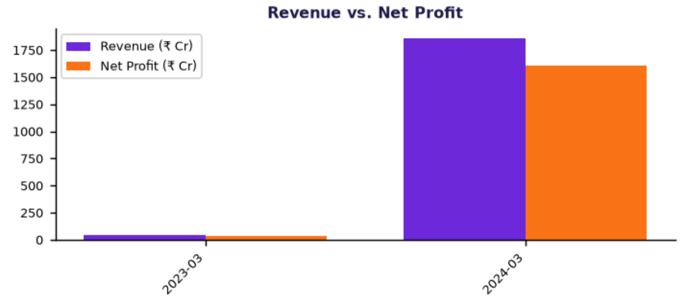
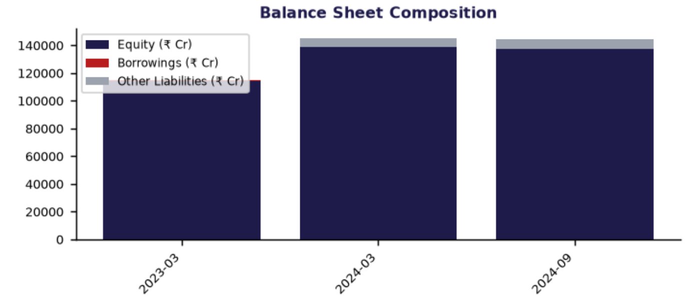
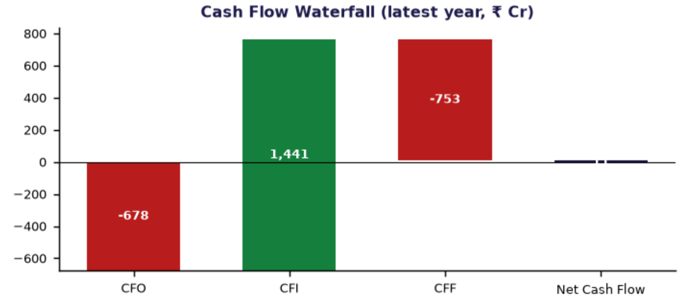
Jio Financial Services Ltd

JIOFIN · Financials / Diversified Financials

ROE **1.15%**	ROCE **1.41%**	Net Profit Margin **86.52%**
D/E **0.00**	Revenue CAGR 5yr **N/A**	FCF (Rs. Cr) **763**







Pros

✓ Operating profit margin above 25% indicates strong pricing power and cost discipline (100% confidence)
✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing (95% confidence)
✓ Debt-free balance sheet provides financial flexibility and eliminates interest burden (90% confidence)
✓ Consistent dividend yield above 2% backed by positive free cash flow (74% confidence)

Cons

✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (100% confidence)
✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (100% confidence)

Capital Allocation Pattern: **Asset Sale Funded Repayment**